

Coffee Shop Sales Report

Insights, Root Cause Analysis & Recommendations

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Overview

I looked through six months of transaction data from the coffee shop's three locations to see what's actually going on with sales, and a few clear patterns came out of it. Below is what I found, followed by a deeper look at one issue worth digging into, and then what I'd recommend doing about all of it.

Key Findings

- Sales basically doubled from January (\$82K) to June (\$166K). Something changed around March or April that's worth understanding properly so it can be repeated.
- Most customers come in between 8 and 10 in the morning, then things quiet down a lot after 6pm. This looks like a commuter crowd grabbing coffee on the way to work rather than people stopping by for the evening.
- Coffee and tea are what's actually selling. Pastries and bakery items barely move by comparison, even though they're sitting right next to the till.
- Hell's Kitchen is pulling in the most revenue of the three stores. Lower Manhattan is a bit behind it.
- Barista Espresso, Brewed Chai Tea, and Gourmet Coffee are the three best sellers by a good margin. These are the drinks people are actually coming in for.
- Saturday has the lowest number of transactions of any day of the week, which is a bit surprising since it's a day off for most people.

Root Cause Analysis: Why Is Saturday the Weakest Day?

Out of everything in the data, the Saturday dip stood out to me the most, mainly because it goes against what I'd expect. Weekdays make sense to be busy since people are commuting past the shop on their way to work, but Saturday is a day off for most people, so I'd have guessed it would do just as well, if not better. Instead it's the lowest day of the week. I used the 5 Whys method to try and get to the bottom of it rather than just guessing.

1. Why are Saturday transactions lower than every weekday?

A: Because the shop doesn't get the same steady footfall on Saturdays that it gets on weekdays.

2. Why doesn't Saturday bring in the same footfall?

A: Because most of the customer base is people passing by on their way to work, and that pattern disappears on the weekend.

3. Why is the customer base mostly weekday commuters?

A: Because the stores are in commercial and business-heavy areas, which are naturally quieter once the work week ends.

4. Why hasn't the shop built up a separate weekend customer base to make up for that drop?

A: Because there isn't currently anything that gives people a specific reason to come in on a Saturday instead of any other day.

5. Why is there nothing that gives people a reason to visit on a Saturday specifically?

A: Because Saturday has always been planned and staffed exactly like a weekday, without treating it as its own thing with its own kind of customer.

So the root cause isn't that Saturdays are naturally quiet, it's that the shop has never really treated Saturday any differently from a Tuesday, even though the people walking past on a Saturday are a completely different crowd with different reasons to stop in.

Recommendations

- Run a weekend-specific promotion or feature item on Saturdays to give people an actual reason to come in, rather than treating it like just another weekday.
- Shift some staffing and prep planning around the morning rush (8-10am), since that's clearly when most of the money is made during the week.
- Test an evening deal after 6pm to see if it's possible to pull in more of the after-work crowd instead of losing that time slot entirely.
- Bundle bakery items with coffee or tea purchases (something like a small discount when bought together) instead of trying to sell bakery on its own, since it's clearly not moving as a standalone item.
- Look at what Hell's Kitchen is doing differently from Lower Manhattan and see if any of it (staffing, layout, local promotions) can be brought over.
- Keep a close eye on stock and consistency for Barista Espresso, Brewed Chai Tea, and Gourmet Coffee, since these three are doing the heavy lifting and running out of any of them would hurt sales the most.

Closing Note

Overall the business is in a good spot and growing, but there's a clear morning-and-weekday bias in how it's currently running. Most of the upside from here isn't about getting more people in the door overall, it's about doing something with the two windows that are currently being left on the table: Saturdays and the evening slot.